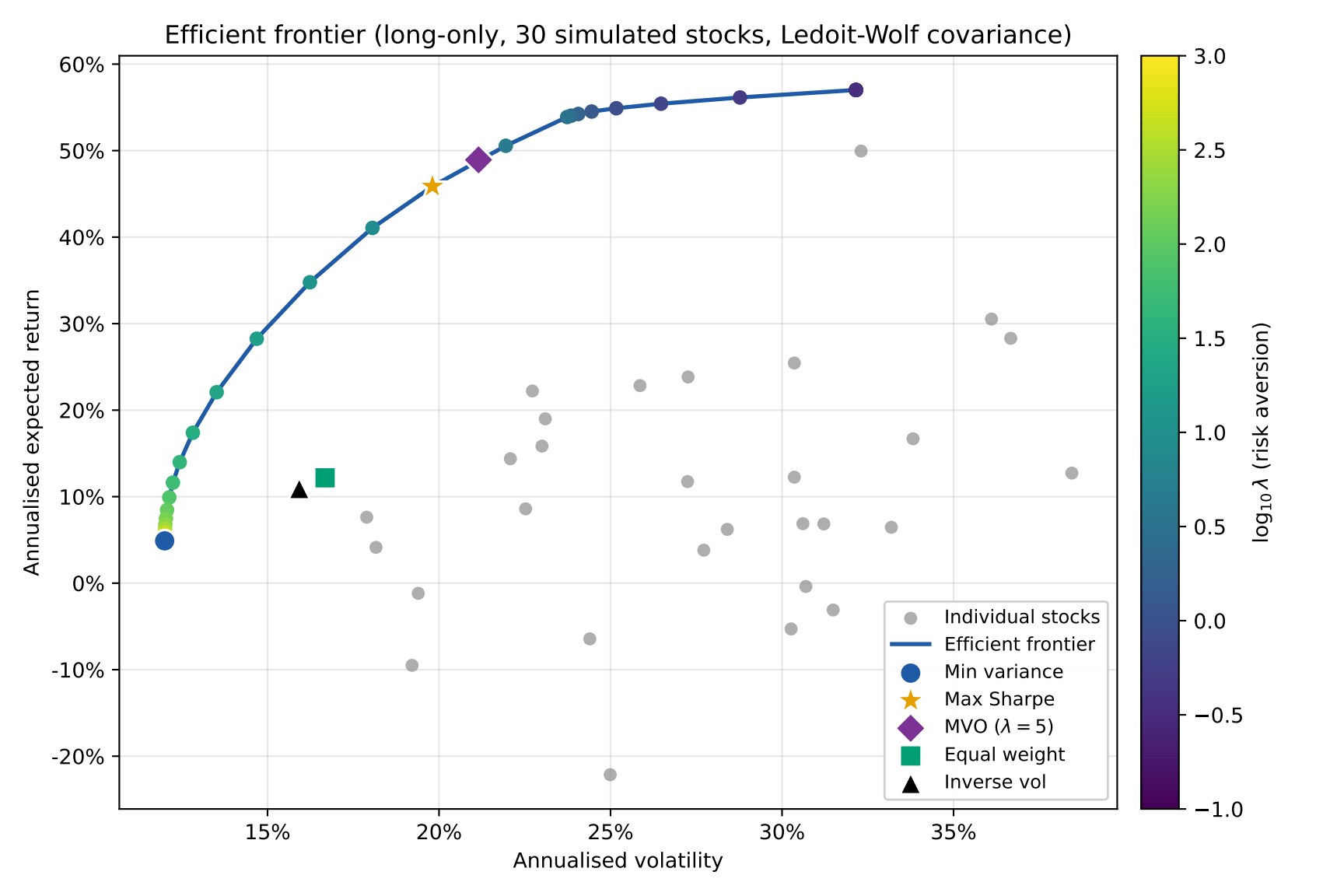
Efficient frontier (long-only, 30 simulated stocks, Ledoit-Wolf covariance)
Annualised expected return
Annualised volatility
$\log_{10}\lambda$ (risk aversion)
60%
50%
40%
30%
20%
10%
0%
-10%
-20%
15%
20%
25%
30%
35%
3.0
2.5
2.0
1.5
1.0
0.5
0.0
−0.5
−1.0
Individual stocks
Efficient frontier
Min variance
Max Sharpe
MVO ($\lambda = 5$)
Equal weight
Inverse vol